

INFLATION

Meaning of Inflation

Inflation refers to a continuous and sustained increase in the general price level of goods and services in an economy. When inflation occurs, the value or purchasing power of money decreases. As a result, people can purchase fewer goods and services with the same amount of money. A temporary increase in the price of one product is not considered inflation. Inflation occurs only when the prices of most goods and services continue to rise over a period of time.

Definitions of Inflation

1. Definition by Coulborn

According to economist Coulborn, inflation is a situation in which “too much money chases too few goods.”

This means that when the quantity of money and demand in an economy increase faster than the supply of goods and services, prices begin to rise. People possess more money, but the quantity of available goods is limited. Therefore, buyers compete with one another, causing the general price level to increase.

Example:

Suppose the price of one kilogram of rice was ₹10, but due to high demand and limited supply, its price increases to ₹20. This rise in price shows how too much money chasing too few goods can lead to inflation.

2. Definition by Crowther

According to economist Geoffrey Crowther, “Inflation is a state in which the value of money falls and prices rise continuously”.

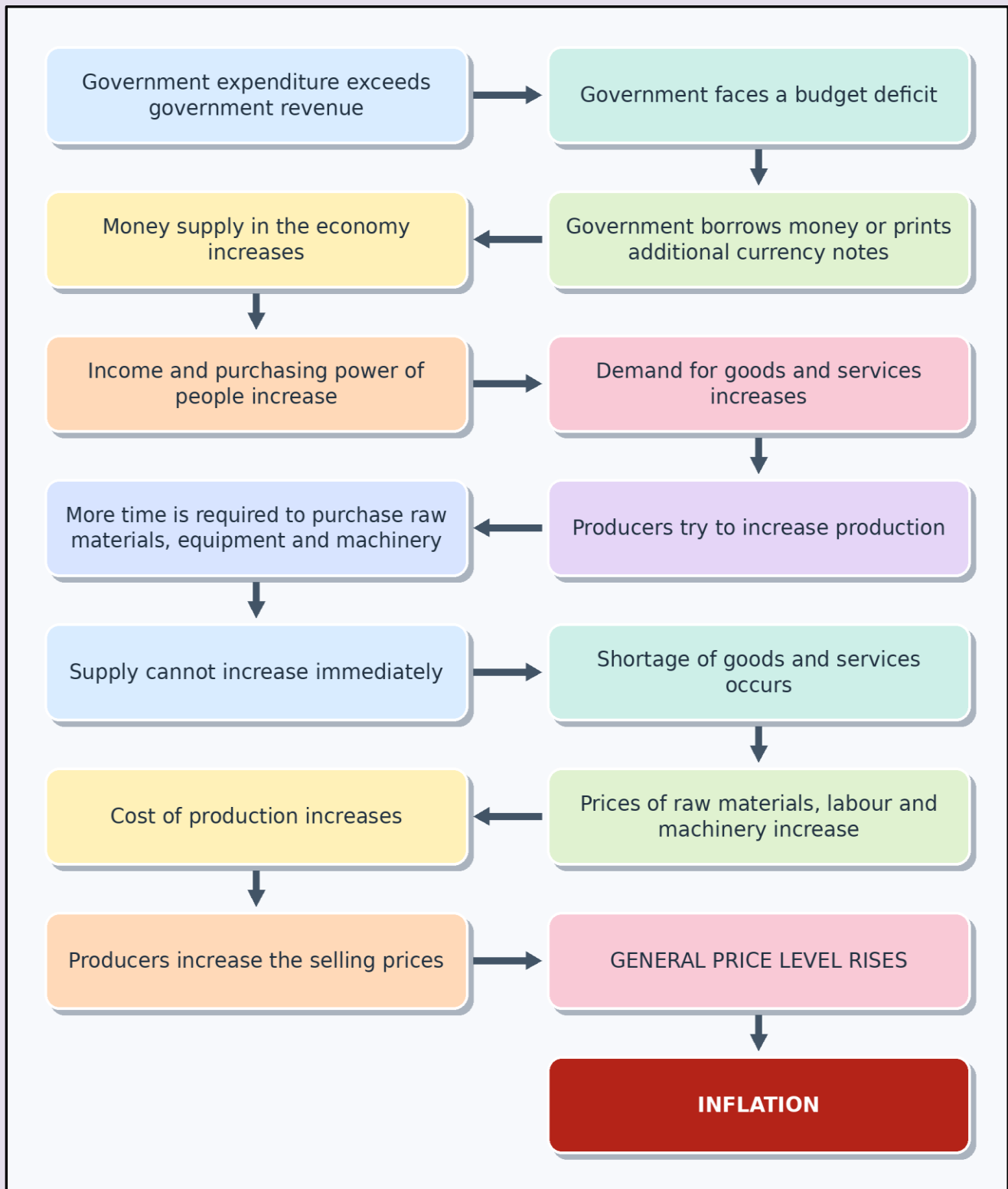
When the general price level increases, each unit of money buys fewer goods and services than before. Therefore, inflation reduces the purchasing power of money and increases the cost of living of the people.

Example:

Earlier, with ₹10, a person could buy two pens at ₹5 each. After inflation, if the price of one pen increases to ₹10, the same ₹10 can buy only one pen. Thus, the purchasing power of ₹10 has decreased.

Flow Chart of Inflation

Government Expenditure and Money Creation



Types of Inflation

1. Creeping Inflation

Creeping inflation refers to a slow and gradual increase in the general price level. Prices normally increase at a very low annual rate, generally around 1% to 3%. This type of inflation is considered mild and manageable. It may encourage producers to increase investment and production because they expect reasonable profits. However, if it continues for a long period, it may gradually reduce the purchasing power of money.

2. Galloping Inflation

Galloping inflation occurs when prices increase rapidly at a high annual rate, usually in double digits. The prices of goods and services may increase by 10%, 20% or even more within a year. It creates uncertainty among consumers, producers and investors. People may avoid keeping their savings in the form of money because its value falls quickly. Galloping inflation can seriously disturb economic planning, production and investment.

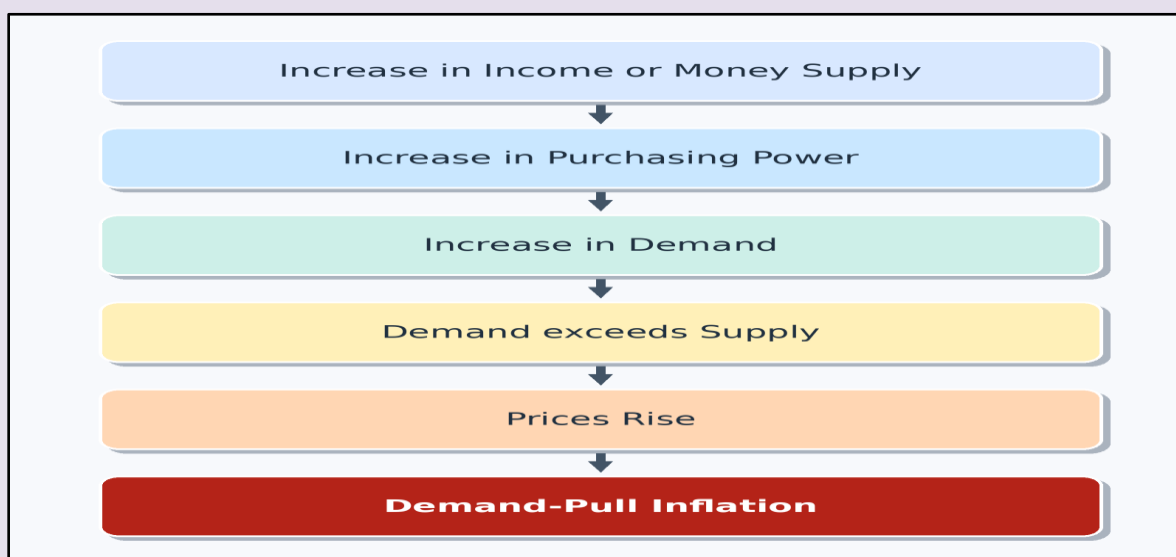
3. Hyperinflation

Hyperinflation is an extremely rapid and uncontrollable increase in the general price level. Prices may increase daily or even several times within a single day. The value of money falls drastically, and people lose confidence in the national currency. Workers demand frequent wage increases because their income becomes insufficient to purchase basic necessities. Hyperinflation may lead to the collapse of the monetary and financial system of a country.

4. Demand-Pull Inflation

Demand-pull inflation occurs when the total demand for goods and services is greater than their total supply. It is commonly explained as a situation of too much money chasing too few goods. Demand may increase because of higher income, government expenditure, bank credit or private investment. Since production cannot be increased immediately, a shortage of goods arises. Producers and sellers then increase prices, resulting in inflation.

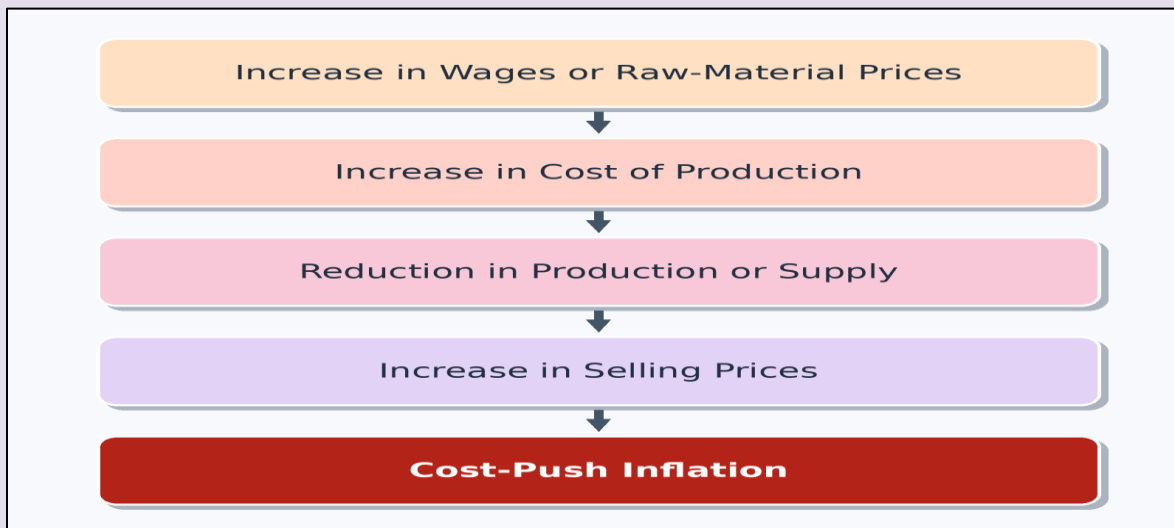
Figure 1:- Demand Pull Inflation



5. Cost-Push Inflation

Cost-push inflation occurs when the cost of producing goods and services increases. Production costs may rise because of higher wages, raw-material prices, fuel costs, electricity charges or transportation expenses. Producers attempt to protect their profit by increasing the selling price of their products. Even when consumer demand does not increase, prices may rise because of higher production costs. This type of inflation may also reduce production and employment.

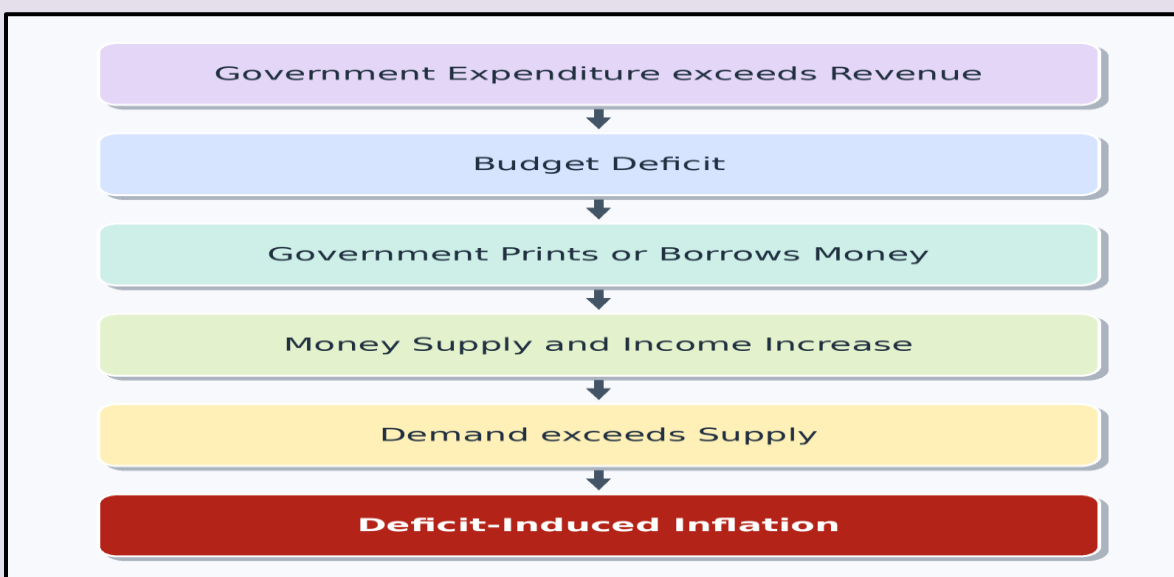
Figure 2 -Cost Push Inflation



6. Deficit-Induced Inflation

Deficit-induced inflation occurs when government expenditure is greater than government revenue. To meet this deficit, the government may borrow money from the central bank or create additional currency. This increases the total money supply and purchasing power in the economy. Demand rises, but the supply of goods may not increase at the same speed. The resulting excess demand causes the general price level to rise.

Figure 4 - Deficit-Induced Inflation



7. Credit-Induced Inflation

Credit-induced inflation occurs because of the excessive expansion of bank credit. When commercial banks provide loans at low interest rates, individuals and businesses can borrow more money. Increased credit raises consumption, investment and purchasing power. If the production of goods and services does not increase equally, demand becomes greater than supply. Consequently, the general price level rises.

8. Profit-Induced Inflation

Profit-induced inflation occurs when producers or sellers increase prices to earn higher profit margins. It is more common in markets where a few large firms control the supply of goods. These firms may restrict production or create an artificial shortage to raise prices. Consumers are forced to pay higher prices because they have limited alternatives. Therefore, excessive profit-making behaviour can contribute to inflation.

9. Tax-Induced Inflation

Tax-induced inflation occurs when the government increases indirect taxes on goods and services. Examples include GST, customs duty, excise duty and sales tax. These taxes increase the production or distribution cost of a product. Producers and sellers generally transfer the additional tax burden to consumers by increasing prices. As a result, the cost of living and the general price level increase.

10. Foreign Trade-Induced Inflation

Foreign trade-induced inflation occurs because of changes in a country's exports, imports or foreign exchange rate. When exports increase considerably, fewer goods may be available for domestic consumers, causing domestic prices to rise. Inflation may also occur when imported raw materials, machinery, fuel or finished goods become expensive. A fall in the value of the domestic currency makes imports costlier. These higher import costs are passed on to consumers through increased prices.

11. Stagflation

Stagflation is a situation in which inflation and economic stagnation occur at the same time. It is characterised by high prices, slow economic growth and high unemployment. Normally, inflation is associated with higher production and employment, but stagflation combines inflation with falling production. It may be caused by a sudden increase in oil prices, production costs or supply shortages. Stagflation is difficult to control because measures used to reduce inflation may further increase unemployment.

12. Sectoral Inflation

Sectoral inflation refers to a rise in prices that is concentrated in a particular sector of the economy. For example, prices may increase rapidly in the food, housing, healthcare, education or transportation sector. A shortage of supply, increase in demand or rise in production costs in one sector may cause this inflation. It may gradually spread to other sectors through higher input costs. Sectoral inflation may not immediately affect the prices of all goods and services.

13. Core Inflation

Core inflation measures the long-term and underlying movement in the general price level. It is normally calculated by excluding items with highly unstable prices, especially food and fuel. Food and fuel prices may change suddenly because of weather, international markets or supply disruptions. By removing these temporary price changes, core inflation shows the basic inflationary trend in the economy. Central banks often study core inflation while deciding monetary policy.

14. Wage-Induced Inflation

Wage-induced inflation occurs when wages and salaries increase faster than the productivity of workers. Higher wages increase the purchasing power and demand of employees. At the same time, they increase the labour cost faced by producers. Businesses may increase the prices of their products to recover the additional wage expenses. This can result in a continuous cycle of wage increases and price increases.

Figure 5:- Wage Induced Inflation



15. Built-In Inflation

Built-in inflation is caused by the expectation that prices will continue to rise in the future. When workers expect higher prices, they demand higher wages to maintain their standard of living. Higher wages increase the cost of production for businesses. Businesses then raise product prices to cover the increased wage cost. This creates a continuous wage-price spiral and makes inflation self-sustaining.

16. Asset Inflation

Asset inflation refers to a continuous increase in the prices of assets rather than ordinary consumer goods. It may affect land, houses, shares, gold, bonds and other investments. It generally occurs when investors have easy access to credit or expect high future returns. Excessive demand pushes asset prices above their actual economic value. Asset inflation may create financial bubbles, which can cause serious losses when prices suddenly fall.

Causes of Inflation

Inflation refers to a continuous rise in the general price level of goods and services over a period of time. It reduces the purchasing power of money. Inflation may arise because of an increase in aggregate demand, a fall in aggregate supply, or a combination of both.

A. Demand-Side Causes of Inflation

1. Increase in Money Supply

When the supply of money increases faster than the production of goods and services, people have more money to spend. The additional purchasing power raises demand, and prices increase when production cannot expand at the same rate.

2. Increase in Income

An increase in wages, salaries, profits, pensions, or other forms of income raises the purchasing power of consumers. As people demand more goods and services, prices may rise, especially when supply is limited.

3. Increase in Public Expenditure

Government expenditure on infrastructure, defence, welfare schemes, administration, and development projects creates additional income and employment. This increases aggregate demand and may lead to inflation when the economy is already operating near full capacity.

4. Increase in Consumer Spending

When consumers spend more and save less, the demand for goods and services rises. If producers are unable to increase output accordingly, excess demand causes prices to increase.

5. Expansionary Monetary Policy

A central bank may reduce interest rates, lower reserve requirements, or purchase securities to increase credit in the economy. Cheaper and easily available credit encourages borrowing, investment, and consumption, which may create inflationary pressure.

6. Deficit Financing

Deficit financing occurs when government expenditure exceeds government revenue and the gap is financed through borrowing or the creation of new money. When newly created money enters the economy without a corresponding increase in production, prices tend to rise.

7. Expansion of the Private Sector

Rapid expansion of private businesses increases investment expenditure, employment, income, and demand for raw materials and capital goods. If the supply of goods and productive resources does not increase sufficiently, inflation may result.

8. Repayment of Public Debt

When the government repays loans to individuals, banks, or financial institutions, money is released into circulation. The recipients may use this money for consumption or investment, thereby increasing aggregate demand and prices.

9. Increase in Exports

A rise in exports reduces the quantity of domestically produced goods available in the home market. At the same time, exporters and producers earn higher incomes. The combination of reduced domestic supply and increased purchasing power may raise domestic prices.

B. Supply-Side Causes of Inflation

10. Factor Cost Effect

An increase in the cost of factors of production, such as wages, rent, interest, energy, transport, and raw materials, raises the cost of producing goods and services. Producers may pass these higher costs on to consumers by charging higher prices.

11. Shortage of Factors of Production

A shortage of labour, capital, land, machinery, energy, or raw materials restricts production. When output falls while demand remains unchanged or increases, the general price level rises.

12. Industrial Disputes

Strikes, lockouts, labour unrest, and other industrial disputes interrupt production and transportation. The resulting shortage of goods may cause prices to increase.

13. Natural Calamities

Floods, droughts, earthquakes, cyclones, fires, and other natural disasters may destroy crops, factories, roads, and infrastructure. This reduces the supply of goods, particularly food and essential commodities, and leads to inflation.

14. Artificial Scarcity

Traders or producers may hoard essential goods, restrict supply, or engage in black marketing to create an artificial shortage. This allows them to charge higher prices even when actual production has not declined.

15. Lopsided Production

Lopsided production occurs when resources are concentrated in the production of certain goods while essential consumer goods are neglected. This creates shortages in some sectors and causes their prices to rise.

16. Law of Diminishing Returns

When additional units of a variable factor are employed with fixed factors, output may eventually increase at a decreasing rate. As productivity falls, the cost per unit of production rises, resulting in higher prices.

17. International Factors

Inflation may also be imported from other countries. Important international causes include:

- An increase in the world prices of crude oil, food, machinery, and raw materials.
- Depreciation of the domestic currency, which makes imports more expensive.
- Wars, sanctions, and political instability that disturb international trade.

- Global supply-chain disruptions and transport shortages.
- Inflation in major exporting countries.
- Higher international freight and insurance costs.

When a country depends heavily on imports, these international developments increase domestic production costs and consumer prices.

Effects of Inflation on Different Groups

Inflation is a continuous rise in the general price level, which reduces the purchasing power of money. Its effects differ among various groups in society.

1. Investors

Investors receiving fixed interest, such as bondholders, generally lose because the real value of their interest income and principal falls. Investors in shares, property, gold, or other real assets may gain if the value of these assets rises with inflation. However, high inflation creates uncertainty and discourages long-term investment.

2. Producers

Producers may gain during the early stages of inflation because the prices of finished goods may rise faster than wages and production costs. This can increase profits and encourage production. However, when inflation becomes severe, raw-material costs, wages, interest rates, and uncertainty rise, which may reduce profits and disrupt production.

3. Farmers

Farmers may benefit when the prices of agricultural products rise faster than the prices of inputs such as seeds, fertilizers, fuel, and machinery. Farmers who have borrowed money may also gain because they repay loans with money of lower purchasing power. However, small farmers and agricultural labourers may suffer if input costs and living expenses rise more rapidly than farm income.

4. Creditors

Creditors generally lose during unexpected inflation. The money repaid to them has less purchasing power than the money they originally lent. For example, a lender who receives fixed interest may find that the real value of both the interest and principal has declined.

5. Debtors

Debtors usually gain from inflation because they repay their debts with money that is worth less. The benefit is greater when the interest rate is fixed and inflation is higher than expected. However, new borrowers may face higher interest rates when lenders expect inflation.

Effect of Inflation on Debtors and Creditors

During inflation, the debtor usually benefits more than the creditor, especially when the loan carries a fixed rate of interest. For example, suppose X lends ₹1,00,000 to Y at 8% interest for one year. X is the creditor, while Y is the debtor. Y invests the borrowed ₹1,00,000 in gold, silver, shares, or property. Due to inflation, the value of these assets rises by 15%.

Value of Y's investment:

$$₹1,00,000 + 15\% = ₹1,15,000$$

After one year, Y repays X:

$$₹1,00,000 + 8\% \text{ interest} = ₹1,08,000$$

Y's profit is:

$$₹1,15,000 - ₹1,08,000 = ₹7,000$$

Therefore, Y, the debtor, benefits because the return from the investment is higher than the interest paid on the loan. X, the creditor, receives ₹1,08,000, but due to inflation, the purchasing power of this money may be lower.

Thus, during inflation, the debtor may benefit more when the borrowed money is invested successfully in assets whose prices rise faster than the loan's interest rate.

6. Fixed-Income Groups

People receiving fixed salaries, pensions, rent, or interest suffer the most because their income does not increase as quickly as prices. Their real income and standard of living decline. Retired people and low-paid employees are particularly affected.

7. Government

The government may benefit because inflation increases nominal tax revenue and reduces the real value of existing public debt. It may also receive more revenue when taxpayers move into higher tax brackets. However, the government must spend more on salaries, pensions, subsidies, welfare programmes, and public projects. High inflation can also create social dissatisfaction and economic instability.

8. Consumers

Consumers lose purchasing power because the same amount of money buys fewer goods and services. Essential items such as food, housing, transport, education, and healthcare become more expensive. Low-income consumers suffer most because they spend a larger proportion of their income on necessities. Inflation may also cause consumers to reduce savings and purchase goods before prices rise further.

Measures to Control Inflation

1. Monetary Measures

The central bank controls inflation by reducing the supply of money and credit in the economy. It may increase interest rates, increase the cash reserve ratio and sell government securities. These measures reduce borrowing and spending, thereby lowering excess demand.

2. Fiscal Measures

The government may reduce public expenditure and increase taxes. Higher taxes reduce people's disposable income, while lower government spending reduces total demand. This helps control the rise in prices.

3. Control of Excess Loans

Commercial banks should avoid granting excessive loans. The central bank may impose restrictions on bank credit and increase lending rates. When fewer loans are available, borrowing and unnecessary spending decrease.

4. Abolishment of Deficit Financing

Deficit financing means meeting government expenditure by creating new money. It increases the money supply and may cause inflation. Therefore, the government should reduce or avoid excessive deficit financing and meet its expenditure through taxes and public borrowing.

5. Encouragement of Savings

The government should encourage people to save by offering higher interest rates, tax benefits and attractive saving schemes. Increased savings reduce the amount of money available for immediate spending and help control excess demand.

6. Increase in Production

The production of essential goods and services should be increased. The government can provide better technology, electricity, transport, raw materials and financial assistance to producers. An increase in supply helps reduce prices.

7. Increase in Imports

Goods that are in short supply may be imported from other countries. The government may also reduce import duties on essential goods. An increase in imports raises the domestic supply and helps control prices.

8. Change in Investment Pattern

Investment should be directed towards the production of essential consumer goods instead of luxury goods. More investment in agriculture, food, housing and other necessary goods increases their supply and helps control inflation.

